

E PLURIBUS UNUM

There were many reasons for the choice of Dow Chemical from the many promising chemical firms. I believe it might be worthwhile to enumerate some of them because they are clear examples of the type of things I seek in the relatively small number of companies in which I desire to place funds. As I began to know various people in the Dow organization, I found that the growth that had already occurred was in turn creating a very real sense of excitement at many levels of management. The belief that even greater growth lay ahead permeated the organization. One of my favorite questions in talking to any top business executive for the first time is what he considers to be the most important long-range problem facing his company. When I asked this of the president of Dow, I was tremendously impressed with his answer: "It is to resist the strong pressures to become a more military-like organization as we grow very much larger, and to maintain the informal relationship whereby people at quite different levels and in various departments continue to communicate with each other in a completely unstructured way and, at the same time, not create administrative chaos."

I found myself in complete agreement with certain other basic company policies. Dow limited its involvement to those chemical product lines where it either was or had a reasonable chance of becoming the most efficient producer in the field as the result of greater volume, better chemical engineering and deeper understanding of the product or for some other reason. Dow was deeply aware of the need for creative research not just to be in front, but also to stay in front. There was also a strong appreciation of the "people factor" at Dow. There was in particular a sense of need to identify people of unusual ability early, to indoctrinate them into policies and procedures unique to Dow, and to make real efforts to see if seemingly bright people were not doing well at one job, they be given a reasonable chance to try something else that might be more suitable to their characteristics.

I found that although Dow's founder, Dr. Herbert Dow, had died some seventeen years before, his beliefs were held in such respect that one or another of his sayings was frequently quoted to me. While his comments were directed primarily at matters within Dow, I decided that at least two of